

Public Economics

Lecture 1 · Why Study Public Finance?

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Today's Questions

- What is **public finance**, and what are the key questions the field addresses?
- What are the key facts about the size and growth of government, and the distribution of taxes and spending, here in **Austria**?
- How do the questions of public finance show up in a concrete policy debate — the Covid-19 pandemic?

Based on

Gruber, J. *Public Finance and Public Policy*, Ch. 1 — “Why Study Public Finance?”

A Motivating Case: Covid-19

1.1 The Four Questions of Public Finance

1.2 Facts on Government in Austria

1.3 Back to Covid-19: The Four Questions in Practice

1.4 Conclusion

A Motivating Case: Covid-19

2020: A Natural Experiment in the Role of Government

- March 16, 2020: Austria is among the first countries in Europe to enter a full nationwide lockdown.
- *Kurzarbeit* (short-time work) is massively expanded to keep workers attached to their employers.
- A series of relief instruments follows: *Fixkostenzuschuss*, *Ausfallsbonus*, the Corona-Hilfsfonds.
- February 2022: Austria becomes the *first EU country* to legislate a general Covid-19 vaccination mandate.

Every one of these decisions is a public finance decision.

1.1 The Four Questions of Public Finance

What Is Public Finance?

Public finance

The study of the role of **government** in the economy.

The four questions of public finance:

1. **When** should the government intervene in the economy?
2. **How** might the government intervene?
3. What is the **effect** of those interventions on economic outcomes?
4. **Why** do governments choose to intervene in the way that they do?

Q1: When Should the Government Intervene?

Baseline: in a competitive market, the equilibrium (supply = demand) maximizes the *social efficiency* of trade.

- Every trade valued by both sides happens; no valuable trade is missed.
- So the free market is the benchmark — government intervention needs a *justification*.

Two justifications for intervention

1. **Market failure** — the market outcome is not efficient
2. **Redistribution** — society wants a different *distribution* of the (efficient) outcome

Market Failure: The Health Insurance Example

Market failure

A problem that causes the market economy to deliver an outcome that does not maximize efficiency.

- Health insurance *looks* like a textbook competitive market: many buyers, many sellers.
- But: if I skip a flu shot, I raise *my* risk of getting the flu — and the risk that I infect *you*.
- I only weigh *my own* costs and benefits when deciding whether to insure/vaccinate; I ignore the cost I impose on others.
- The same logic applies to vaccination generally: below some coverage threshold, *herd immunity* breaks down and outbreaks become possible again — private vaccination choices under-provide protection relative to the social optimum.

⇒ a **negative externality**: private decisions $\neq$ socially efficient decisions.

Austria's Case: The 2022 Covid-19 Vaccination Mandate

- Feb 2022: Austria's *Impfpflichtgesetz* made Covid-19 vaccination compulsory for adults — a first in the EU.
- Justified explicitly on **externality** grounds: protecting the health system and others, not just oneself.
- June 2022: the *Verfassungsgerichtshof* (Constitutional Court) upheld the law *in principle*, but applied strict scrutiny because a vaccine mandate is a serious intervention in bodily autonomy.
- The mandate was never enforced with fines and was repealed in 2023 as Omicron changed the risk calculus.

Why this matters for public finance

A textbook market-failure argument (Q1) still had to survive constitutional *and* political scrutiny (Q4) before becoming policy (Q2) — and it was reversed once the underlying facts changed (Q3).

The Second Motive: Redistribution

Redistribution

The shifting of resources from some groups in society to others.

- Think of the economy as a **pie**: efficiency determines its *size*.
- Society may also care about the *distribution* of slices — e.g., valuing €1 more to a poor household than to a rich one.

The equity–efficiency trade-off

Redistribution usually changes behavior (e.g., work incentives), which can *shrink the pie* even as it changes how it is sliced.

Why Redistribution Is on the Table in Austria

Income inequality

- Gini coefficient (equivalized disposable income): 30.7 in 2021, up from 29.8 in 2020
- At-risk-of-poverty rate: $\approx$ 12–14% of the population
- Material deprivation nearly doubled: 201,000 people (2.3%) in 2022 $\rightarrow$ 336,000 (3.7%) in 2023

Wealth inequality

- Median household net wealth: $\approx$ €83,000
- Top 1% hold roughly 40%+ of total net wealth
- Bottom 50% hold under 4% of total net wealth

Source: Statistik Austria, EU-SILC (2023); Oesterreichische Nationalbank, Household Finance and Consumption Survey (HFCS).

Q2: How Might the Government Intervene?

Four broad policy tools:

1. **Tax or subsidize** private sale/purchase (change the price)
2. **Restrict or mandate** private sale/purchase (change the quantity directly)
3. **Public provision** (the government produces the good itself)
4. **Public financing of private provision** (government pays; private firms produce)

The Four Tools, With Austrian Examples

Tool	Austrian example
Tax/subsidize	<i>Pendlerpauschale</i> (commuter tax deduction); CO ₂ pricing under the eco-social tax reform
Mandate/restrict	Covid-19 vaccination mandate (2022, repealed 2023)
Public provision	ÖGK public health insurance; public hospitals (Gemeinde-spital network)
Public financing of private provision	Social-insurance reimbursement of private physicians and private hospitals

Q3: What Are the Effects of Interventions?

Direct effects

What would happen *if people did not change their behavior*.

Indirect effects

What happens *because* people change their behavior in response.

Both matter for costing *any* government intervention — here is an Austrian example.

Worked Example: The Austrian *KlimaTicket*

- Launched Oct. 2021: one nationwide public-transport ticket at a much lower price than existing regional/ÖBB passes combined.
- **Direct-cost estimate:** priced in only existing pass holders switching to the cheaper ticket. Net cost, first full year (2022): €192.2 million.
- **Indirect effect:** take-up far exceeded forecasts — 215,000+ tickets sold by Dec. 2022, past 300,000 by 2023 (Upper Austria alone: 3.5× the projection).
- Budgeted cost roughly *tripled* within two years — €366.7m (2023), €544.5m (2024) — as ÖBB long-distance ridership rose 20% above its 2019 level.

How many people actually switch is an empirical question — and it was most of the bill.

Source: profil.at; derStandard.at; ORF; Rechnungshof, Bericht KlimaTicket (2025).

Application: Independent Scorekeepers

Answering Q3 requires credible, nonpartisan empirical analysis — Austria has two dedicated institutions for this.

- **Fiskalrat**: monitors compliance with EU and national fiscal rules.
- Parliament's **Budgetdienst**: independently costs and analyzes budget bills for MPs.
- Both flagged the 2024 deficit overshoot well before the official numbers were finalized.

(Comparable independent bodies exist elsewhere too — e.g. the US Congressional Budget Office.)

Q4: Why Do Governments Do What They Do?

- Q2 was **normative** (how *should* government intervene?). Q4 is **positive** (why do governments actually behave as they do?).
- Governments aggregate the preferences of millions of citizens — imperfectly.
- Just as markets can fail, **governments can fail** too: policy can reflect lobbying, electoral incentives, or institutional constraints rather than pure efficiency or equity goals.

Political economy

The theory of how the political process produces decisions that affect individuals and the economy.

Same virus, same evidence — yet Austria's own coalition governments split sharply over how far to go.

1.2 Facts on Government in Austria

Why Look at the Facts?

- Public finance is compelling because government is *everywhere* in economic life.
- We now look at six facts about Austria: size, decentralization, deficits/debt, spending composition, revenue composition, and regulation.
- Where useful, we place Austria in its EU/OECD context — the environment you will actually work and pay taxes in.

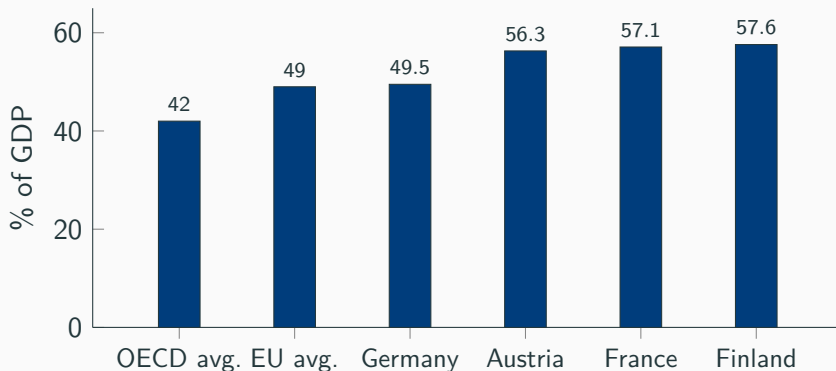
Fact 1: The Size of Government Has Grown — Everywhere

- Government spending has expanded across Western Europe since 1960, driven above all by the build-out of the welfare state.
- The pace has varied enormously: Greece's government share roughly tripled since 1960; Sweden's peaked near two-thirds of GDP in the early 1990s before falling back.
- Austria's own **Staatsquote** sits well above the OECD average today (next slide).

Discussion

What explains the twentieth-century growth of government spending across almost every developed country?

Austria Today: One of the Largest Governments in the EU



Austria had the **3rd-highest** total government spending ratio (“Staatsquote”) in the EU in 2024.

Source: Eurostat; Statistik Austria (2024); Statistisches Bundesamt (Destatis, 2025); OECD Government at a Glance.

Fact 2: Decentralization — Who Spends, Who Taxes?

Austria, like Germany, is organized as a federal state with three levels: *Bund*, *Länder*, and *Gemeinden*.

Austria's federalism paradox

- **Bund** (federal): collects $\approx 72\%$ of tax revenue, but does only $\approx 48\%$ of spending
- **Länder**: collect $\approx 12\%$ of tax revenue, but do $\approx 31\%$ of spending
- **Gemeinden** (municipalities): collect $\approx 12\%$ of tax revenue, but do $\approx 25\%$ of spending

Revenue-raising power and spending responsibility are separated — a classic “who pays vs. who decides” problem in fiscal federalism.

Source: Agenda Austria, fiscal federalism analysis; Austrian *Finanzausgleich*.

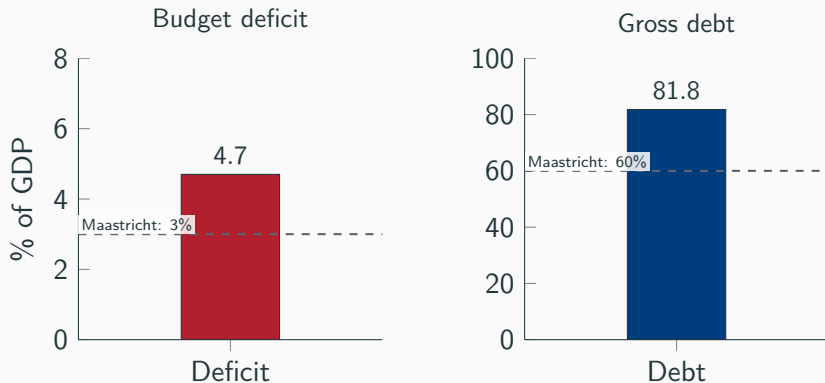
Fact 3: Deficits and Debt

Definitions

Deficit = spending — revenue in a given year. **Debt** = accumulated past deficits.

- The EU's **Maastricht rules** cap the deficit at 3% of GDP and gross debt at 60% of GDP for member states.
- Austria's Länder and Gemeinden are constitutionally close to balanced-budget requirements; the Bund is not.

Austria vs. the Maastricht Rules



Austria 2024: deficit **4.7%** of GDP, gross debt **81.8%** of GDP — both above their Maastricht ceilings (3% and 60%).

Source: Statistik Austria, Maastricht notification (2025); BMF, Öffentliche Schulden 2024.

Discussion: Deficits and Debt

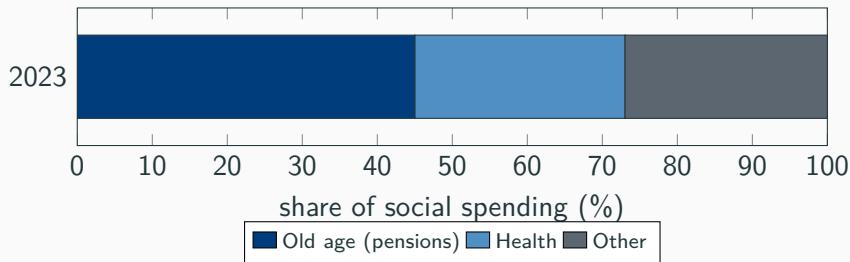
- What are the costs of running larger deficits and carrying more debt?
- Why might it make sense to let deficits rise in *some* years (recessions, pandemics) even under fixed fiscal rules?
- Austria's Länder and Gemeinden are far closer to balanced budgets than the Bund — why might that be, given Fact 2?

Fact 4: What Does Government Spend On?

Public goods vs. social insurance

National defense is a classic **public good** (non-excludable, non-rival benefit) — and a small share of Austria's budget. Pensions and health coverage are **social insurance**: government provision of insurance where private insurance markets under-perform — and they dominate Austrian spending.

Austria's Social Spending



“Other” = family benefits, unemployment insurance, disability, and housing support.

Total social spending: €146.2 billion (2023). Austria's **Sozialquote**: 30.9% of GDP — among the highest social-spending ratios in the world.

Source: Statistik Austria, ESSPROS social protection statistics (2023).

Fact 5: Where Does the Revenue Come From?

Across many advanced economies, tax structures have shifted over recent decades — away from taxing corporate profits, toward taxing labor income and consumption.

Discussion

What are the implications of shifting the tax burden from businesses toward workers' earnings?

Austria's Tax Mix: Heavy on Labor

- VAT (*Umsatzsteuer*): $\approx$ €35.4 billion (2022) — the single largest tax
- Wage tax (*Lohnsteuer*): $\approx$ €25 billion — about one-sixth of total tax revenue
- Corporate tax (*Körperschaftsteuer*): $\approx$ €7.8 billion — only 2.2% of GDP
- VAT + wage tax alone $\approx$ two-thirds of all tax revenue

A distinctive feature

Austria taxes **labor** more heavily, relative to the size of its economy, than any other EU country — while capital and consumption taxes play a comparatively smaller role.

Source: Agenda Austria; Bundesministerium für Finanzen (BMF), tax revenue statistics (2022–24).

Fact 6: The Regulatory State

Beyond taxing and spending, governments **regulate**.

Domain	Austrian regulator
Food & drug safety	AGES (Agentur für Gesundheit und Ernährungssicherheit)
Workplace safety	Arbeitsinspektorat; AUVA
Environment	Umweltbundesamt
Communications & media	RTR (Rundfunk und Telekom Regulierungs-GmbH)
Financial markets	FMA (Finanzmarktaufsicht)

Regulatory agencies can be tiny in budget yet govern a huge share of everyday economic life.

1.3 Back to Covid-19: The Four Questions in Practice

The Four Questions, Applied

1. **When intervene?** Mask mandates, business closures, and the vaccine mandate were all justified by *externalities* — exactly the logic of the flu-shot example.
2. **How intervene?** Kurzarbeit (public financing of private employment) vs. the Fixkostenzuschuss (a direct subsidy) — two different tools for the same goal.
3. **What effect?** Did Kurzarbeit actually prevent layoffs, or mostly subsidize jobs that would have survived anyway? This is exactly a direct-vs.-indirect-effects question.
4. **Why this policy?** Austria's own coalition partners split sharply over vaccine-mandate enforcement — despite drawing on the same epidemiological evidence.

1.4 Conclusion

Highlights

- Government intervention is justified by **market failure** (grow the pie) or **redistribution** (reslice the pie) — not simply by good intentions.
- There are many tools to intervene: taxes/subsidies, mandates/restrictions, public provision, and public financing of private provision.
- Empirical public finance — direct vs. indirect effects — is essential to judging *how well* any policy actually works.
- Governments can fail too: political economy explains why actual policy often departs from the efficiency/equity ideal.
- Government in Austria is large by international standards (56.3% of GDP), fiscally federal in a distinctive way, and its tax base leans heavily on labor income.

Discussion Questions for Next Time

1. Is Austria's heavy reliance on labor taxation (vs. capital/consumption) efficient, equitable, both, or neither?
2. Austria's Bund raises 72% of tax revenue but does only 48% of spending. What are the risks of this mismatch between taxing and spending authority?
3. Consider the case for a wealth tax in a country where the top 1% hold $\approx 40\%$ of net wealth. Frame your answer using the equity–efficiency trade-off.
4. Was the 2022 Covid-19 vaccination mandate a case of correcting a market failure, or a case of government overreach? Use the four questions of public finance to structure your answer.

Textbook: Gruber, J. *Public Finance and Public Policy*, Ch. 1, Worth Publishers.

Austrian and international data:

- Statistik Austria: Staatsausgaben nach Aufgabenbereichen; Sozialquote/ESSPROS; EU-SILC income and living conditions
- Bundesministerium für Finanzen (BMF): Öffentliche Schulden 2024; tax revenue statistics
- Parlament Österreich, Budgetdienst: Gebarungserfolg und gesamtstaatliche Entwicklung 2024; Fiskalrat
- Oesterreichische Nationalbank (OeNB): Household Finance and Consumption Survey (HFCS)
- Agenda Austria: Staatsquote, fiscal federalism, and tax-structure analyses
- Eurostat; OECD *Government at a Glance*; Statistisches Bundesamt (Destatis)
- Verfassungsgerichtshof: *Impfpflichtgesetz* decisions G 29/2022, G 37/2022
- Rechnungshof, Bericht KlimaTicket (2025); profil.at; derStandard.at; ORF

Thank you!

Questions and discussion